

TOPIC 10: ACCOUNTING FOR LIABILITIES

QUESTION 1

On 1st April 2012, Perniagaan Ukhuwah signs a RM100,000 10% notes payable with Bank Umaman for 6 months.

Pada 1 April 2012, Perniagaan Ukhuwah membuat pinjaman RM100,000 daripada Bank Umaman dengan menandatangani perjanjian 10% nota belum bayar untuk tempoh 6 bulan.

INSTRUCTIONS:

- (i) Prepare a journal entry on 1 April 2012.
Sediakan catatan jurnal pada 1 April 2012.
- (ii) Prepare a journal entry to record accrued interest on 30 June 2012.
Sediakan catatan jurnal untuk merekod faedah terakru pada 30 Jun 2012.
- (iii) Prepare journal entries on the maturity date of 30 September 2012.
Sediakan catatan jurnal pada tarikh matang 30 September 2012.

QUESTION 2

Here are transactions for Perniagaan Sarikei for the year ended 31 December 2006.

Berikut adalah urusan Perniagaan Sarikei bagi tahun berakhir 31 Disember 2006.

(1)	PS get a loan at 1 April 2006 amounted to RM550,000 from Bank Utama Berhad at an interest rate of 6%. <i>PS mendapat pinjaman pada 1 April 2006 berjumlah RM550,000 dari Bank Utama Berhad pada kadar faedah 6 %.</i>
(2)	The company's policy to create an estimation for product warranty of 3% of annual sales. The company's annual sales in 2006 is RM350,000. <i>Menjadi polisi syarikat untuk membuat anggaran waranti bagi produk sebanyak 3% daripada jualan tahunan barang niaga. Jualan tahunan syarikat pada tahun 2006 ialah RM350,000.</i>

INSTRUCTIONS:

- (i) Prepare adjusting entries to record interest on loans at the end of 2006. (Description ignored).
Sediakan catatan pelarasan untuk merekod faedah pinjaman pada akhir tahun 2006. (Keterangan diabaikan)
- (ii) Prepare journal entries to record warranty expenses for the year 2006. (description ignored).
Sediakan catatan jurnal untuk merekod perbelanjaan waranti bagi tahun 2006. (keterangan diabaikan)

QUESTION 3

On 1 January 2010, Elite Sdn. Bhd. issued 8% bond worth RM300,000. The bonds will mature on 1 January 2015. Interest on the bonds will be paid twice a year, on 1 July and 1 January. ESB financial year ended 31 December each year.

Pada 1 Januari 2010, Elite Sdn. Bhd. menerbitkan bon 8% bernilai RM300,000. Bon ini akan matang pada 1 Januari 2015. Faedah bon akan dibayar dua kali setahun, iaitu pada 1 Julai dan 1 Januari. Tahun kewangan ESB berakhir 31 Disember setiap tahun.

INSTRUCTIONS:

- (i) Prepare journal entries to record the issuance of bonds on 1 January 2010.
Sediakan catatan jurnal bagi merekod terbitan bon pada 1 Januari 2010.
- (ii) Prepare journal entries to record interest on 1 July 2010.
Sediakan catatan jurnal bagi merekod faedah pada 1 Julai 2010.
- (iii) Prepare journal entries on 31 December 2010.
Sediakan catatan jurnal pada 31 Disember 2010.
- (iv) Prepare the Statement of Financial Position as at 31st December 2010.
Tunjukkan petikan Penyata Kedudukan Kewangan pada 31 Disember 2010.

QUESTION 4

On 1 January 2009, Xero Corporation make a loan of RM40,000 for a period of five (5) years from the Regional Bank with an interest rate of 10% per year and signed a note payable of RM25,000 from Bank United for a period of three (3) years at an interest rate 12% per annum. For both loans, interest is paid once a year, on each 1 January.

Pada 1 Januari 2009, Xero Corporation membuat pinjaman RM40,000 untuk tempoh lima (5) tahun daripada Bank Regional dengan kadar faedah 10% setahun dan menandatangani nota belum bayar bernilai RM25,000 daripada Bank United untuk tempoh tiga (3) tahun pada kadar faedah 12% setahun. Untuk kedua-dua pinjaman tersebut, faedah dibayar setahun sekali, iaitu pada setiap 1 Januari.)

INSTRUCTIONS:

Prepare journal entries to record transactions on the following dates:
Sediakan catatan jurnal untuk merekod urusaniaga pada tarikh berikut:

(i)	1 January 2009	Making a loan to the Bank Regional and Bank United. <i>Membuat pinjaman dengan Bank Regional dan Bank United</i>
(ii)	31 December 2009	Recording interest expense. <i>Merekod belanja faedah.</i>
(iii)	1 January 2010	Interest payment. <i>Merekod belanja faedah.</i>
(iv)	1 January 2012	Payment of notes payable to Bank United. <i>Pembayaran nota belum bayar kepada Bank United.</i>

QUESTION 5

On 31 December 2004, the liability position for Citra Klasik Sdn. Bhd. is as follows:

Pada 31 Disember 2004, kedudukan liabiliti Citra Klasik Sdn. Bhd. adalah seperti berikut:

	RM
Accounts payable <i>Akaun belum bayar</i>	202,500
Sales tax payable <i>Cukai jualan belum bayar</i>	41,000
Unearned service revenue <i>Hasil perkhidmatan belum terperoleh</i>	50,000

Following transactions involving liabilities during 2005.

Berikut adalah urusanniaga yang melibatkan liabiliti sepanjang tahun 2005.

Date	Transactions
Jan. 1	Issued 8%, 5-year bonds payable of RM500,000. Interest payments on the bonds due on each 1 st January starting 1 st January 2006. <i>Menerbitkan 8%, 5 tahun bon belum bayar RM500,000. Bayaran faedah atas bon perlu dijelaskan pada setiap 1 Januari bermula 1 Januari 2006.</i>
Mac 10	Provide service to customers worth RM35,000 which has made an advance payment. <i>Memberi perkhidmatan RM35,000 kepada pelanggan yang telah membuat bayaran pendahuluan.</i>
Oct. 1	A bank loan of RM35,000 is made by issuing notes payable at interest rates of 10% and a maturity period of 5 months. <i>Membuat pinjaman bank RM35,000 dengan mengeluarkan nota belum bayar pada kadar faedah 10% dan tempoh matang 5 bulan.</i>
Nov. 6	Estimating warranty of 20% to 750 units of goods sold. Warranty for one year is in the form of free repair. Repairing costs estimated at RM55.00 per unit. <i>Membuat anggaran waranti sebanyak 20% ke atas 750 unit barangniaga yang telah dijual. Waranti selama setahun itu dalam bentuk pembaikan percuma. Kos pembaikan dianggarkan RM55.00 seunit.</i>

INSTRUCTIONS:

- Prepare journal entries to record the transactions (description ignored).
Sediakan catatan jurnal untuk merekod urusanniaga berkenaan. (keterangan diabaikan)
- Based on the above transactions, prepare adjustment journal entries on 31 December 2005. (description ignored).
Berdasarkan urusanniaga di atas, sediakan catatan jurnal pelarasan pada 31 Disember 2005. (keterangan diabaikan).

ANSWER

QUESTION 1

	Date	Details	Dr. (RM)	Cr. (RM)
(i)	Apr. 1	Dr. Bank Cr. Notes payable (To record loan from notes payable)	100,000	100,000
(ii)	Jun 30	Dr. Interest Expense Cr. Interest Payable (To record interest expenses)	2,500	2,500

		(10% x 100,000 x 3/12)		
(iii)	Sept. 30	Dr. Notes Payable Interest Payable Interest Expense Cr. Bank (To record payment for loan and interest)	100,000 2,500 2,500	105,000

QUESTION 2

(i)

Details	Dr. (RM)	Cr. (RM)
Dr. Interest Expense Cr. Interest Payable (6% x 550,000 x 9/12)	24,750	24,750

(ii)

Details	Dr. (RM)	Cr. (RM)
Dr. Warranty Expense Cr. Warranty Payable (3% x 350,000)	10,500	10,500

QUESTION 3

	Date	Details	Dr. (RM)	Cr. (RM)
(i)	2009 Jan. 1	Dr. Bank Cr. Bonds Payable (To record bond issued)	300,000	300,000
(ii)	2010 Jul. 1	Dr. Interest Expense Cr. Bank (To record interest expenses) (*6/12 x 300,000 x 8%)	12,000	12,000
(iii)	Dis. 31	Dr. Interest Expense Cr. Interest Payable (To record interest payable)	12,000	12,000

$$(*6/12 \times 300,000 \times 8\%)$$

(iv)

Non Current Liabilities	RM
Bonds Payable	300,000
Current Liabilities	
Accrued Interest	12,000

QUESTION 4

	Date	Details	Dr. (RM)	Cr. (RM)
(i)	2009 Jan. 1	Dr. Bank Cr. Loans (To record loan from Bank Regional)	40,000	40,000
		Dr. Bank Cr. Notes Payable (To record notes payable)	25,000	25,000
(ii)	2009 Dis. 31	Dr. Interest Expense Cr. Interest Payable (To record interest payment) ($RM40,000 \times 0.10 = RM4,000$) + ($RM25,000 \times 0.12 = RM3,000$)	7,000	7,000
(iii)	2010 Jan. 1	Dr. Interest Payable Cr. Cash (To record interest payment)	7,000	7,000
(iv)	2012 Jan. 1	Dr. Notes Payable Interest Payable Cr. Cash (To record payment for loan and interest) ($RM25,000 \times 0.12$)	25,000 3,000	28,000

QUESTION 5

(i)

Date	Details	Dr. (RM)	Cr. (RM)
Jan. 1	Dr. Cash Cr. Bonds Payable	500,000	500,000
Mac 10	Dr. Unearned Service Revenue Cr. Service Revenue	35,000	35,000
OCr. 1	Dr. Cash Cr. Notes Payable	35,000	35,000
Nov. 6	Dr. Warranty Expense Cr. Warranty Payable ($20\% \times 750 \text{ unit} \times RM55.00$)	8,250	8,250

(ii)

Date	Details	Dr. (RM)	Cr. (RM)
Dis. 31	Dr. Interest Expense Cr. Interest Payable (8% x RM500,000)	40,000	40,000
	Dr. Interest Expense Cr. Interest Payable (10% x 35,000 x 3/12)	875	875